

Ch9. Case Study

MillerKnoll Uses Salesforce and AI to Transform Its Business Strategy

MillerKnoll, formerly known as Herman Miller, Inc., is a Michigan-headquartered company that produces innovative office furniture, equipment, and home furnishings. MillerKnoll has subsidiaries and corporate offices, independent dealers, retailers, and licensees in more than 40 countries in North America, Asia Pacific, Europe, the Middle East, and Latin America. Its products and services are sold through retail stores, e-commerce websites, catalogs, and a global dealer network of independent businesses. The company generated \$3.8 billion in 2023 revenue and employed 11,600 people worldwide.

When the Covid-19 pandemic forced people all over the world to work at home, MillerKnoll's furniture was in high demand because of its ability to blend design, functionality, and comfort. E-commerce sales skyrocketed, inspiring the company to transform its business strategy and online store. The strategy called for providing a frictionless omni-channel experience that was more convenient and personalized for customers. MillerKnoll wanted to be able to engage with customers from the first moment of design inspiration; operate a user-friendly, leading-edge digital storefront; and provide exceptional customer service during and after the purchase process.

To serve customers better and manage all of its relationships with them, MillerKnoll turned to Salesforce, which features cloud-based tools for CRM and application development. Salesforce helps MillerKnoll identify key customer segments, develop closer ties to those customers, and design differentiated experiences tailored to each customer's needs. Salesforce CRM tools make it possible for MillerKnoll to have a single, consistent view of each customer across all the various channels through which that person interacts with the company.

MillerKnoll uses Salesforce Marketing Cloud to develop complex customer journeys (customer experiences with a brand across all touch points) and sophisticated email campaigns. Salesforce Marketing Cloud is a CRM platform that allows marketers to create and manage marketing relationships with customers and campaigns. The Marketing Cloud incorporates integrated solutions for customer journey management, email, mobile, social media, web personalization, advertising, content creation, content management, and data analysis. Every imaginable customer interaction and engagement is covered. The software includes predictive analytics to help make decisions such as, for example, what channel would be preferable for a given message. A component called Journey Builder helps marketers tailor campaigns to customers' behaviors and needs, demographics, and communication channel preferences.

Each of MillerKnoll's brands has a different customer base, and these bases largely do not overlap. Marketing Cloud helps the company make sure that it is treating each of these brands and customers differently, understands preferences across different channels, and uses that data to personalize customer interactions. Previously, MillerKnoll merchandising operations were manual and required too much time to put products in the right place and build interactions that had to change frequently.

The Marketing Cloud is connected to Salesforce's Sales Cloud and Service Cloud to provide a unified experience and prevent customers from being contacted separately by representatives from sales, marketing, and service groups. Service Cloud is a platform for customer service and support. Companies using Service Cloud can automate service processes, streamline workflows, and locate key articles, topics, and experts with information to help the company's 1,100 customer service agents. Service Cloud can "listen" and respond to customers across a variety of social platforms and

automatically route cases to the appropriate agent. Service for Apps makes it possible to embed customer support software into mobile applications, including features for live agent video chat, screen sharing, and on-screen guided assistance. Service Cloud makes it possible to deliver service that is more personalized and convenient in whatever form each customer prefers—email, web, social media, or telephone—all from a single application. Service Cloud helped MillerKnoll handle the spike in customer service requests during the Covid-19 pandemic.

Sales Cloud is a cloud-based application designed to help salespeople sell more quickly by centralizing customer information, logging their interactions with your company, and automating many of the tasks that salespeople do every day. This means they'll spend less time on administration and more time closing deals. For sales managers, Sales Cloud gives real-time visibility into their team's activities, so forecasting sales with confidence is not as difficult. Sales Cloud is easy to use and customizable to the way salespeople work. MillerKnoll uses Sales Cloud to manage sales leads and opportunities across brands, monitor team performance, track sales insights, and automate tasks through a single dashboard.

MillerKnoll relaunched its website on Salesforce Commerce Cloud, resulting in increased site speed and a richer shopping process. Shoppers can now browse and purchase products more easily, with more tailored product recommendations, a streamlined checkout process, and tools for live video chat with sales associates.

Having unified customer data with a powerful platform to manage customer relationships helped MillerKnoll retain and use vital customer information as the company continued to grow globally. With sales, marketing, and service teams united around the customer, MillerKnoll was able to meet customer expectations for personalized service as it expanded. According to Ben Groom, MillerKnoll's chief digital officer, Salesforce helped the company become more integrated across all of its brands, and its online shopping experience mirrors the same quality as its products.

MillerKnoll uses AI and data-driven approaches to enhance its sustainability efforts and deepen its relationship with customers. Promoting sustainability makes its products even more appealing. For example, MillerKnoll uses AI to track and manage its carbon emissions, energy use, waste, and water data. The company implemented Salesforce Net Zero Cloud, a sustainability management platform powered by Salesforce Einstein AI that is designed to help organizations manage their environmental impact and monitor their progress toward net zero carbon emissions. Companies that use Net Zero Cloud obtain a single source of data for their carbon emissions. MillerKnoll can analyze individual assets and understand impact across location and time. Net Zero Cloud also provides useful reports and executive-ready visualizations in a few clicks to facilitate tracking and management of emissions.

Net Zero Cloud is able to convert procurement spending data into a measure of total carbon dioxide output. In the past, MillerKnoll had to track carbon emissions from many different sources manually using spreadsheets. Net Zero Cloud makes it possible to track carbon emissions across the organization in real-time and eliminate unwieldy and time-consuming manual processes. The tool can even measure emissions from suppliers in its value chain and identify suppliers that have a high impact on a company's total emissions. New Salesforce Einstein AI features for Net Zero Cloud make corporate environmental, social, and governance (ESG) reporting even easier as companies confront a rapidly evolving regulatory landscape. The EU's Corporate Sustainability Reporting Directive (CSRD) is already in effect. This directive is aimed at driving change in the business behavior of companies that operate in the EU, which includes U.S. companies with EU subsidiaries that meet certain criteria. CSRD sets out environmental, social, and governance (ESG) reporting requirements for companies and aims to hold organizations accountable for their environmental and social impacts and to accelerate the transition

to a fully sustainable and inclusive economic and financial system. The directive is very complex, calling for identification of risks, opportunities, and material impacts related to social, environmental, and governance issues. Approximately 50,000 companies—including many large U.S.-based multinationals—are required to report. Net Zero Cloud's new capabilities include CSRD Report Builder, which automates report generation in alignment with CSRD requirements, helping companies identify ESG topics that are most material to their business.

By leveraging AI and data, MillerKnoll is able to make more informed decisions about their products and processes, with a strong focus on sustainability. MillerKnoll hopes that they can be good stewards of the earth's resources while making each product and experience exceptionally designed.

CASE STUDY QUESTIONS

What is MillerKnoll's business strategy? What is the role of customer relationship management in that strategy?

How did using Salesforce change the way MillerKnoll ran its business?

What is the role of AI in MillerKnoll's business model?

Give examples of two business decisions at MillerKnoll.